



Internal Controls Review: A Small Coffee Shop

A hypothetical case study in cash-handling controls

The scenario

- A hypothetical coffee shop with one owner, four part-time employees, and one cash register.
- The owner notices that cash deposits seem low compared with how busy the shop feels.
- Goal: identify control weaknesses and recommend practical fixes for a small business.

This business is fictional and used for illustration only.

Weaknesses found

- One employee takes orders, collects cash, counts the drawer, and makes the bank deposit.
- Register logins are shared, so sales and voids cannot be traced to a person.
- Voided sales and refunds are never reviewed.
- Deposits are made whenever convenient instead of daily.

Why these matter

- Without segregation of duties, one person can take cash and hide it in the records.
- Shared logins remove accountability and make investigation nearly impossible.
- Unreviewed voids are a common way to remove cash after a sale is rung up.

Recommendations

- Separate duties: the person counting the drawer should not be the one who made the sales.
- Give each employee a unique register login.
- The owner reviews a daily report of voids and refunds.
- Deposit cash daily and match deposit slips to register totals.

Cheap controls first: most of these fixes cost almost nothing to put in place.

Key takeaway

- Small businesses cannot always fully separate duties, so owner review becomes the key control.
- Good controls protect honest employees too, because the records can clear them.